

TRAVELOPS – TRAVEL CANCELLATION & REFUND POLICY

Standard Operating Procedure & AI Knowledge Specification | Enterprise Travel Management

Policy Identifier:	POL-TOPS-2026-V2	Effective Date:	September 1, 2026
Version:	2.4.0 (AI / MCP Compatible)	Approval Level:	Director of Global Travel Operations
Target Audience:	Travel Operations, AI Agents, Customer Support	System Compatibility:	TravelOps MCP v1.0+

PURPOSE & AI PARSING DIRECTIVE: This document contains explicit, rule-based instructions governing cancellation requests, refund evaluations, and customer support actions within the TravelOps platform. All rules are deterministic. AI systems reading this policy must enforce strict boolean logic and absolute eligibility constraints without extrapolation.

1. FLIGHT CANCELLATION POLICY

Flight cancellation outcomes are calculated based on the precise time difference between the receipt timestamp of the cancellation request and the scheduled flight departure time.

Timeframe / Condition	Ticket Type	Eligibility	Fee Structure & Deductions
> 72 Hours before departure	Refundable Ticket	REFUND AFTER FEES	Full refund minus \$50 TravelOps service fee + airline supplier fee (\$50–\$100).
> 72 Hours before departure	Non-Refundable Ticket	NO CASH REFUND	0% cash refund. Issued as airline travel credit minus \$75 penalty fee.
24 to 72 Hours before departure	Refundable Ticket	PARTIAL REFUND	50% refund of base fare. Fuel charges and taxes refunded. \$75 service fee applies.
24 to 72 Hours before departure	Non-Refundable Ticket	NO REFUND	100% penalty. Unused airport departure taxes only are eligible for refund upon request.
< 24 Hours before departure	All Ticket Types	NO REFUND	100% base fare penalty. Flight segment non-refundable and non-changeable.
Same-Day Cancellation	All Ticket Types	NO REFUND	0% refund. 100% fare forfeiture.
No-Show Passengers	All Ticket Types	NO REFUND	Passenger fails to board or cancel prior to departure: 100% forfeiture of total ticket cost.
Booking Change Request	Refundable Ticket	REBOOKING ALLOWED	\$35 TravelOps rebooking fee + fare difference. Must be requested > 24 hrs prior to flight.

2. HOTEL CANCELLATION POLICY

Hotel cancellations are governed by check-in date timestamps (assumed standard 15:00 local destination time).

Timeframe / Condition	Rate Type	Eligibility	Fee Structure & Deductions
> 48 Hours before check-in	Standard / Flexible Rate	FULL REFUND	100% refund of hotel booking cost minus \$25 TravelOps administrative fee.
< 48 Hours before check-in	Standard / Flexible Rate	PARTIAL REFUND	1st night room charge + tax forfeited. Remaining nights refunded minus \$25 fee.
Same-Day Cancellation	Standard / Flexible Rate	NO REFUND	100% penalty of booking total. Zero refund eligibility.
No-Show	All Rate Types	NO REFUND	100% booking amount forfeited. Hotel reserves right to release room after 24 hours.
Non-Refundable Booking	Promotional / Restricted	NO REFUND	Strict 0% refund policy under all non-emergency conditions regardless of advance notice.

3. REFUND PROCESSING POLICY

- **Verification Mandate:** Every refund request requires verified booking records, explicit policy matched rules, and valid reason documentation.
- **Original Payment Method:** Refunds MUST be issued exclusively to the original credit card, bank account, or payment portal used during booking. Cash or third-party transfers are prohibited.
- **Processing Timeline:** Standard processing duration is **7 to 14 business days** following official human approval. Bank posting times may extend this by 3–5 financial business days.
- **Deductions & Service Charges:** TravelOps administrative service charges (\$25 for hotels, \$50 for flights) and non-recoverable supplier fees are subtracted from total refund amounts prior to disbursement.
- **Currency Conversion Differences:** Refunds are calculated in the original billing transaction currency. TravelOps is not liable for fluctuations in foreign exchange rates or foreign transaction fees levied by issuing banks.

4. AIRLINE DISRUPTION POLICY

Disruption Category	Airline / Agency Obligation	Customer Resolution Options
Airline Flight Cancellation	Carrier cancels flight segment due to operational, mechanical, or crew reasons.	100% Full Cash Refund OR complimentary rebooking on next available flight segment.
Flight Delay (> 4 Hours)	Departure delayed by > 240 minutes from original scheduled time.	Full refund without penalty OR rebooking. Meal voucher provided if delay > 3 hours.
Schedule Change (> 3 Hours)	Carrier alters departure time by > 180 minutes prior to departure date.	Accept updated itinerary OR request 100% full refund within 7 days of notice.
Missed Connection	Missed connection due to delay on single-ticket itinerary.	Carrier rebooks on next available flight + hotel accommodations if overnight stay required.

Disruption Category	Airline / Agency Obligation	Customer Resolution Options
Involuntary Overbooking	Passenger denied boarding due to flight overbooking.	Full refund OR rebooking + statutory denied boarding compensation per air passenger protection laws.
Force Majeure / Restrictions	Severe weather, act of God, war, or government border closures/travel restrictions.	Full Travel Voucher credit valid for 12 months OR cash refund subject to carrier emergency policies.

5. SPECIAL CIRCUMSTANCES

In exceptional circumstances, standard cancellation penalties may be waived upon mandatory submittal and human review of valid legal/medical documentation within 14 calendar days of request:

- **Medical Emergency:** Requires a certified physician letter on official hospital/clinic letterhead specifying inability to travel on booking dates.
- **Death of Immediate Family Member:** Requires an official death certificate (Parent, Spouse, Child, Sibling). Full refund granted minus \$25 processing fee.
- **Visa Rejection:** Requires official embassy/consulate rejection letter dated prior to departure. Refund minus \$50 processing fee (must be submitted at least 7 days before departure).
- **Government Travel Directives:** Requires official state department travel prohibition notice. 100% travel credit or cash refund.

6. REFUND APPROVAL WORKFLOW & AI SYSTEM BOUNDARIES

Step 1: Customer Request — User initiates request via TravelOps UI or Agent interface.

Step 2: Verify Booking — [AI / MCP Allowed] Retrieve booking status, flight/hotel ID, and verify customer credentials.

Step 3: Check Cancellation Policy — [AI / MCP Allowed] Evaluate timeframe, ticket rules, and policy constraints.

Step 4: Calculate Eligible Refund — [AI / MCP Allowed] Compute fare minus service fees and penalties.

Step 5: Create Refund Request — [AI / MCP Allowed] Invoke `create_refund_request(booking_id, reason)` to log pending record.

Step 6: Human Approval — [STRICTLY HUMAN ONLY] Operations manager inspects and signs off on the request.

Step 7: Refund Processing — Finance dispatches funds to original payment instrument (7–14 business days).

Step 8: Customer Notification — Automated system dispatches final confirmation email and refund receipt.

CRITICAL AI / MCP SYSTEM BOUNDARIES & MANDATES

- **MAY** verify booking details via tool calls (e.g., `check_flight`, `get_booking_status`).
- **MAY** calculate estimated refund amounts according to Policy rules.
- **MAY** create a pending refund ticket via `create_refund_request`.
- **MUST NOT** approve, execute, or disburse any financial refund directly.
- **MUST NOT** promise, guarantee, or declare a refund as "approved" to the user prior to official human sign-off.

- **MUST NOT** invent prices, dates, or non-existent policy exceptions.

7. HIGH-VALUE REFUND & SPECIAL ESCALATION POLICY

- **High-Value Threshold (\$1,000 USD):** Any individual refund calculation exceeding **\$1,000.00 USD** is classified as High-Value and automatically triggers mandatory secondary sign-off by a Senior Travel Operations Manager.
- **Disputed or Fraud Risk Refunds:** Any request with conflicting documentation, chargeback history, or suspected fraud requires manual investigation by the Compliance & Security Department.

8. CUSTOMER SUPPORT & AI BEHAVIORAL RULES

- **Factual Grounding:** AI Agents must strictly utilize verified data returned from MCP tools and explicit policy text in this document.
- **No Extrapolation:** Never assume unstated conditions. If information is missing (e.g., ticket class or precise timestamp), prompt the user for clarification.
- **Standardized Phrasing for Pending Requests:** When creating a refund request, the system must inform the customer: *"Your refund request of [Estimated Amount] has been logged (ID: [Request ID]) and submitted for human review. Official processing requires human manager approval."*

9. PRACTICAL APPLICATION EXAMPLES

Example 1: Early Flight Cancellation (> 72 Hours)

Situation: Customer requests flight cancellation (FL-1004, Refundable) 5 days prior to departure. Ticket cost: \$600.

Policy Rule: Section 1 — Refundable ticket cancelled > 72 hours before departure.

Customer Eligibility: Partial cash refund (\$600 - \$50 TravelOps fee - \$50 airline fee = \$500).

Required Action: MCP calculates \$500 refund, calls `create_refund_request`, flags as Pending Human Approval.

Example 2: Late Flight Cancellation (< 24 Hours)

Situation: Customer requests cancellation 12 hours before departure due to personal schedule conflict.

Policy Rule: Section 1 — Flight cancellation < 24 hours before departure.

Customer Eligibility: \$0.00 cash refund (100% fare penalty).

Required Action: AI informs customer of \$0 refund eligibility per strict 24-hour rule. No refund request created.

Example 3: Non-Refundable Flight Ticket

Situation: Customer cancels a \$350 Non-Refundable economy ticket 4 days before departure.

Policy Rule: Section 1 — Non-refundable ticket > 72 hours before departure.

Customer Eligibility: Zero cash refund. Eligible for \$275 airline voucher credit (\$350 - \$75 fee).

Required Action: AI explains non-refundable rule, offers travel voucher request submission.

Example 4: Hotel Cancellation Within Allowed Window

Situation: Customer cancels flexible hotel room (\$200/night, 3 nights = \$600) 60 hours before check-in.

Policy Rule: Section 2 — Standard rate hotel cancellation > 48 hours prior to check-in.

Customer Eligibility: Full refund minus \$25 TravelOps administrative fee (\$575 total).

Required Action: MCP creates pending refund request for \$575 for manager sign-off.

Example 5: Hotel No-Show

Situation: Customer fails to arrive at hotel on check-in date without notice. Contacted support next day.

Policy Rule: Section 2 — Hotel No-Show policy.

Customer Eligibility: 100% forfeiture. \$0 refund eligibility.

Required Action: AI cites No-Show policy clause and denies financial refund request.

Example 6: Airline Operational Cancellation

Situation: Airline cancels flight due to engine maintenance issues. Customer rejects rebooking option.

Policy Rule: Section 4 — Airline Flight Cancellation disruption rule.

Customer Eligibility: 100% Full Refund (\$0 fee deductions).

Required Action: MCP submits \$100% full refund ticket marked with high-priority disruption tag.

Example 7: Medical Emergency with Documentation

Situation: Customer hospitalised 18 hours before flight departure; submits official physician certificate.

Policy Rule: Section 5 — Special Circumstances (Medical Emergency).

Customer Eligibility: Full refund waiver consideration upon document verification.

Required Action: AI prompts user to upload doctor's note, logs pending request, flags for Urgent Human Special Review.

Example 8: High-Value Refund Requiring Management Escalation

Situation: Family group cancels 4 first-class tickets (> 72 hours notice). Calculated refund amount: \$4,200.00.

Policy Rule: Section 7 — High-Value Refund Policy (> \$1,000 threshold).

Customer Eligibility: \$4,200 minus standard fees, subject to Senior Management approval.

Required Action: MCP creates pending refund request, marks status as Pending Senior Management Review. AI informs customer of high-value protocol.

10. POLICY METADATA & SUPPORT GOVERNANCE

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